WATKINS v STONE

24CV47717

PLAINTIFF'S MOTION FOR PRELIMINARY INJUNCTION AND OSC RE CONTEMPT

This case arises out of a business dispute between Plaintiff Terrilynn Watkins and Defendant Amber Stone. Now before the Court is Plaintiff's motion for preliminary injunction and order to show cause for violation of the Court's interim order.

Defendant has filed a "Response to Complaint and Counterclaim" but has not filed an opposition to the instant motions.

I. Factual and Procedural Background

On December 15, 2022, Plaintiff and Defendant incorporated Arnold Realty, Inc ("Arnold Realty") for the purpose of selling real estate in Arnold, CA. (Complaint ¶ 9.) Plaintiff and Defendant each own 50% of the available shares in Arnold Realty, with Plaintiff as the Chief Financial Officer and Secretary and Defendant the CEO. (Complaint ¶¶ 1,2.)

There was no formal partnership agreement between Plaintiff and Defendant but both members had equal access to all corporate accounts, including, but not limited to, the company Google Workspace, the company website (discoverarnold.com), and the company emails. (Complaint ¶ 10.) All, or almost all, business and administration for both Plaintiff's and Defendant's mutual and independent endeavors, including client communication, was conducted utilizing the company's Google Workspace and related email addresses. (Complaint ¶ 11.) This included Plaintiff's individual corporation, Terri Watkins Real Estate Services, whose client list is managed almost entirely utilizing terri@discoverarnold.com. (*Ibid.*)

While the partnership went smoothly at first, over time the parties disputed the direction of the business and things became less amicable. On or about September 20, 2024, Plaintiff discovered that she no longer had access to the Arnold Realty Instagram account or her company email account. (Complaint ¶ 19.) On September 21, 2024, Plaintiff learned that Defendant had removed company furniture, and that Plaintiff no longer had access to the Arnold Realty Google workspace, including access to the domain discoverarnold.com, Plaintiff's corporate email address, the administrative address for the company, and the official company email address utilized in communicating with business associates, agents, clients, and potential clients of Arnold

Realty. (*Id.* ¶ 20.) Plaintiff contacted Arnold Realty's web creator, non-party Dan Kushnir, to see if he could assist in regaining access Mr. Kushnir informed Plaintiff that his admin privileges had also been revoked and he could no longer access either the website or the Google Workspace. (*Ibid*.)

On October 4, 2024, counsel representing Plaintiff sent a cease-and-desist letter to Defendant, demanding that she return access to the subject accounts to Plaintiff immediately. Defendant ignored this request. (Complaint ¶ 25.) On November 2, 2024, Plaintiff learned that someone had reactivated her Arnold Realty email account with a new password, thereby gaining access to all of Plaintiff's prior emails, including those with personal information. (*Id*. ¶ 26.) Plaintiff, however, was unable to log in to her own email account.

On November 8, 2024, Plaintiff brought the instant lawsuit against Defendant alleging causes of action for: 1) involuntary dissolution; 2) breach of fiduciary duty; 3) accounting; and 4) intentional interference with prospective economic advantage. Defendant filed a responsive document.

On November 13, 2024, upon the ex parte request of the Plaintiff, the Court held a hearing on Plaintiff's request for an immediate temporary restraining order and order to show cause why Plaintiff was not entitled to a preliminary injunction. After that hearing, the Court issued an Interim Order restraining Defendant and her employees or agents from:

1. Removing or destroying any documents on the Arnold Realty Google Workspace;

2. Making changes to any Arnold Realty accounts without seeking written consent from both parties;

3. Withdrawing or utilizing funds from Arnold Realty's corporate account without seeking written consent from both parties.

In addition, Plaintiff was ordered to send an email to Defendant with the "accurate and contemporary passwords and login information for the following accounts related to Arnold Realty: 1) Zillow; 2) Homes.com; 3) Instagram ; 4) Business Profile; and 5) Bank Accounts" and to give equal administrative privileges to Defendant for these same accounts. Defendant was ordered to email Plaintiff with the "accurate and contemporary passwords and login information for the following accounts related to Arnold Realty: 1) Google Workspace – Including the email addresses terri@discoverarnold.com, sandra@discoverarnold.com, and arnoldrealty@discoverarnold.com; and 2) Meta" and to provide Plaintiff with equal administrative privileges for these same accounts. The Court also provided the parties with a briefing schedule related to the Plaintiff's request for an injunction.

Plaintiff filed her Motion for Preliminary Injunction on November 22, 2024. On December 11, 2024, Plaintiff filed an *ex parte* application for Order to Show Cause Re Contempt For Violation of The Court's Interim Order. Defendant has not filed oppositions to either motion.

II. Legal Standard and Analysis

A. Defendant is ordered to show cause why she should not be held in contempt.

Pursuant to Code Civil Procedure section 1209(a)(5), contempt occurs whenever there is "disobedience of any lawful judgment, order, or process of the court." When, as is the case here, the contempt occurs outside of the presence of the Court, "an affidavit shall be presented to the court or judge of the facts constituting the contempt. . . (CCP §1211(a).) Once the affidavit is presented and accepted, the Court may order the offending party to show cause as to why they should not be held in contempt.

"The essential facts to establish contempt for violation of a court order are: 1) the making of the order, 2) knowledge of the order, 3) ability of the respondent to render compliance, and 4) willful disobedience of the order." (*Moore v. Superior Court*, (2020) 57 Cal.App.5th 441, 456.)

Here, the Court issued an Interim Order pursuant to which Defendant was required to provide login access, and equal administrative rights, to all business emails and the Google Workspace. Defendant had knowledge of the Order as evidenced by the fact she was present in Court when the Court orally made the orders and subsequently by her actions when she proceeded to comply with the Order (in part) by providing Plaintiff with the login credentials for the business emails by the mandated deadline. Defendant had the ability to comply with the Court's Interim Order because she has retained access to electronic/internet domains for Arnold Realty and has positioned herself to be the only person with such access. Finally, there appears to be willful disobedience of the Court's Order. Defendant was ordered to provide full and equal administrative rights to Plaintiff to Google Workspace and the emails pending the outcome of this case. Plaintiff is unable to access the "admin console" and therefore does not have full administrative rights.

Accordingly, Plaintiff's Motion for Contempt is **GRANTED**. Defendant is ordered to appear and show cause as to why she should not be held in contempt of the Court's Interim Order. Further, the Court will hear from Plaintiff regarding what appropriate sanction should be imposed, evidentiary, financial, or otherwise.

B. Preliminary Injunction

When determining whether to issue a preliminary injunction, the court considers two interrelated questions: (1) the likelihood that the plaintiff will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief. (*White v. Davis* (2003) 30 Cal.4th 528, 554; *see also Robbins v. Sup. Ct*. (1985) 38 Cal.3d 199, 206; Code Civ. Proc., § 526.)

1. Likelihood of Prevailing on the Merits

<u>Involuntary Dissolution</u>

The grounds for involuntary dissolution include where an even number of directors who are deadlocked and therefore unable to conduct the business to its advantage (Cal. Corp. Code §1800(b)(2) or where those in the control of the corporation have engaged in fraud, unfairness, or misapplication or waste of corporate property (Cal. Corp. Code §1800(b)(3).)

Here, Plaintiff has alleged and presented evidence of the fact that Arnold Realty operated as a type of partnership with Plaintiff and Defendant as equals who can no longer conduct the business to its advantage. Even before Plaintiff had been allegedly locked out of the business accounts, the parties had discussed dissolving the business due to irreconcilable differences. (Declaration of Terrilynn Watkins in Support of Motion for Preliminary Injunction ("Watkins Decl. 1") ¶ ¶ 9-11.) Now, Plaintiff and Defendant are in contentious litigation, with Plaintiff allegedly unable to fully access the necessary accounts for running the business. As such, Plaintiff has alleged and established sufficient evidence of prevailing on the merits of her involuntary dissolution claim.

<u>Breach of Fiduciary Duty and Accounting</u>

"The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach , and (3) damage proximately caused by that breach. [Citations Omitted.]" (Mendoza v. Continental Sales Co. (2006) 140 Cal.App.4th 1395, 1405.)

Plaintiff alleges that she and Defendant were 50% equal shareholders and officers Arnold Realty. As a matter of law, directors of a corporation owe each other a fiduciary duty. (*GAB Business Services, Inc. v. Lindsey & Newsom Claim Services, Inc.*, (2000) 83 Cal.App.4th 409, 416.) Likewise, officers of a corporation endowed with discretionary power to manage corporate affairs also owe fiduciary duties, including the duty to act in good faith and loyalty and with due care. Plaintiff alleges, and has demonstrated evidence that, Defendant breached her fiduciary duties when she unilaterally blocked Plaintiff from access to the all of the company's online accounts and emails and began removing furniture from the office. In addition, Plaintiff has alleged that Defendant engaged in self-dealing by taking a commission from a mutual client. As a result of the alleged breaches, Plaintiff has shown that she has suffered damages, and will continue to suffer damages.

Accordingly, Plaintiff has demonstrated a likelihood of prevailing on her claim for breach of fiduciary duty.

A complaint also states a claim for an accounting where the Plaintiff alleges: 1) the existence of a fiduciary relationship; 2) losses in an amount that cannot be entertained; and 3) misconduct. (*Kritzer v. Lancaster* (1950) 96 Cal.App.2d 1, 6-7.) As set forth above, Plaintiff has sufficiently demonstrated the existence of a fiduciary relationship and Defendant's misconduct. Additionally, Plaintiff has sufficiently demonstrated that her alleged losses cannot be ascertained without an accounting because she does not know the value of the company because she has been prevented from accessing the books, records, files and other assets. (Complaint ¶ 42.)

Accordingly, Plaintiff has demonstrated a likelihood of prevailing on the merits of her cause of action for accounting,

<u>Intentional Interference with Prospective Economic Advantage</u>

The elements of prospective interference with prospective economic advantage are: " '1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; 2) the defendant's knowledge of the relationship; 3) intentional acts on the part of the defendant designed to disrupt the relationship; 4) actual disruption of the relationship; and 5) economic harm to the plaintiff proximately caused by the acts of the defendant.' [citation]." (*Korea Supply Co. v. Lockheed Martin Corp*. (2003), 29 Cal.4th 1134, 1153.)

Here, Plaintiff alleges, and has produced some evidence, of prospective economic relationships with her real estate clients and potential client who were the subject of "leads" sent to her Arnold Realty email account. Defendant was clearly aware of Plaintiff's relationship with clients and potential clients. Defendant appears to have actively and intentionally acted to disrupt those relationships by blocking Plaintiff from the Google Workspace and Plaintiff's work email and those relationships were disrupted. Finally, Plaintiff argues that as a result of this conduct, she has lost commissions, referrals, and the ability to communicate with clients all to her economic disadvantage.

Accordingly, Plaintiff has demonstrated a likelihood of prevailing on the merits of her claim for intentional interference with economic advantage.

2. Balance of Harm to the Parties

The Court must next look at the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief. (*White v. Davis* (2003) 30 Cal.4th 528, 554.) "[T]he more likely it is that [applicant] will ultimately prevail, the less severe must be the harm that they allege will occur if the injunction does not issue." (*King v. Meese* (1987) 43 Cal. 3rd 1217, 1227.) The general purpose of a preliminary injunction is often to preserve the status quo. (*Harbor Chevrolet Corp. v. Machinists Local Union 1484* (1959) 173 Cal.App.2d 380, 384.)

Plaintiff's motion seeks a return to the status quo before she and Defendant began having a dispute and Plaintiff was locked out of the company Google Workspace and emails. The Court's Interim Order recognized Plaintiff's need to have full access to the Google Workspace and emails. Without such access, Plaintiff is unable to communicate with her current and potential clients and asserts that this is affecting her reputation. On the other hand, there is no evidence that Defendant will be harmed if required to give Plaintiff access to Arnold Realty's Google Workspace, emails, and business records and to comply with the Court's Interim Order.

Accordingly, Plaintiff's motion for preliminary injunction is **GRANTED**.

III. Conclusion

Plaintiff's motion for order to show cause is **GRANTED** and the Court will determine appropriate sanctions at the hearing. Plaintiff's motion for preliminary injunction is also **GRANTED** in its entirety.

The Clerk shall provide notice of the Ruling forthwith. Defendant to submit a formal Order pursuant to CRC 1.1312 in conformity with this Ruling.

HAMPTON v EAST BAY MUD, et al

22CV46329

DEFENDANT URBAN PARK'S MOTION FOR LEAVE TO FILE RENEWED MOTION FOR SUMMARY JUDGMENT

(TO BE HEARD BY JUDGE BARRY GOODE, ASSIGNED FOR ALL PURPOSES)

This is a personal injury action. Plaintiff generally alleges that while recreating along the

south shore of the Camanche Dam and Reservoir ("Reservoir"), near the Arrowhead campground, he dove into the water from a rock wall and struck a submerged boulder, resulting in quadriplegia. Defendant East Bay Municipal Utility District ("EBMUD") owns and maintains the Reservoir. Defendant Urban Park Concessionaires ("UPC") has a contractual relationship with EBMUD to provide hospitality and resort management services at the Reservoir.

On August 18, 2023, this Court denied UPC's motion for summary judgment on the grounds that there remained genuine issues of material fact as to whether UPC did something to increase the risk of getting hurt diving off the rock wall. Specifically, there remained issues of fact as to whether UPC participated with EBMUD in the selection of contractor and/or actual placement of the rock which Plaintiff struck. (*See* 8/18/23 Ruling.)

Now before the Court is UPC's motion for leave to file renewed motion for summary judgment. UPC contends that it is entitled to renew its motion pursuant to Code Civil Procedure section 437c(f)(2) because there are "newly discovered facts or circumstances or a change of law supporting the issues reasserted in the summary judgment motion." (CCP § 437c(f)(2).) UPC argues that after the first motion for summary judgment was denied, UPC was able to obtain new deposition testimony which evidenced that the Plaintiff had been using drugs/drinking at the time of the incident. Specifically, UPC cites to three allegedly new facts:

1. In the 4-5 hour period that Plaintiff was at Lake Camanche until the incident occurred, he consumed two shots of alcohol, low dosage marijuana, and sips of ecstasy diluted in water, and had only eaten a quarter of a family-size bag of chips (Quan Dec., Ex. 4 at 25:16-26:2, 28:25-29:8, 105:19-106:12);